

Apple Inc. (AAPL)

Sector: Technology | **Industry:** Consumer Electronics | **Currency:** USD | **Periods:** FY 2022 – FY 2025 | **Date:** Oct 01, 2026

DIAGNOSTIC STATUS: VERY STRONG

Executive Financial Diagnostic

Apple Inc. shows strong fundamentals in FY2025: no red flags and 6 clear strengths.

Identified Financial Strengths:

- **[Cash Generation] High free-cash-flow margin (23.7%):** Free cash flow was 23.7% of revenue, leaving cash for dividends, buybacks or debt repayment.
- **[Solvency & Credit] Altman Z in the safe zone (10.17):** Altman Z of 10.17 is above the 2.99 safe threshold: low statistical bankruptcy risk.
- **[Profitability] High return on equity (151.9%):** Net income was 151.9% of year-end shareholders' equity.
- **[Returns on Capital] High ROIC (65.1%):** After-tax operating profit was 65.1% of debt + equity, well above a typical 8-10% cost of capital.

Areas for Monitoring & Weaknesses:

- **[Liquidity] Current ratio below 1 (0.89x):** Current liabilities are larger than current assets (0.89x). Fine for firms with strong cash flow and bargaining power, risky otherwise.

1. Profitability & Returns

Metric	FY 2022	FY 2023	FY 2024	FY 2025
Gross Margin	43.3%	44.1%	46.2%	46.9%
Operating Margin	30.3%	29.8%	31.5%	32.0%
Net Profit Margin	25.3%	25.3%	24.0%	26.9%
Effective Tax Rate	16.2%	14.7%	24.1%	15.6%
Return on Assets (ROA)	28.3%	27.5%	25.7%	31.2%
ROA (avg. assets)	n/a	27.5%	26.1%	30.9%
Return on Equity (ROE)	197.0%	156.1%	164.6%	151.9%
ROE (avg. equity)	n/a	171.9%	157.4%	171.4%
Return on Invested Capital (ROIC)	54.6%	56.3%	57.2%	65.1%

2. Liquidity

Metric	FY 2022	FY 2023	FY 2024	FY 2025
Current Ratio	0.88x	0.99x	0.87x	0.89x
Quick Ratio	0.71x	0.84x	0.75x	0.77x
Cash Ratio	0.31x	0.42x	0.37x	0.33x

3. Leverage & Solvency

Metric	FY 2022	FY 2023	FY 2024	FY 2025
Debt-to-Equity	2.61x	1.79x	1.87x	1.34x
Debt-to-Assets	0.38x	0.32x	0.29x	0.27x
Financial Leverage (Multiplier)	6.96x	5.67x	6.41x	4.87x
Interest Coverage	40.75x	29.06x	n/a	n/a

4. Efficiency & Working Capital (365-day year)

Metric	FY 2022	FY 2023	FY 2024	FY 2025
Asset Turnover	1.12x	1.09x	1.07x	1.16x
Asset Turnover (avg. assets)	n/a	1.09x	1.09x	1.15x
Inventory Turnover	45.20x	33.82x	28.87x	38.64x
Inventory Turnover (avg. inventory)	n/a	37.98x	30.90x	33.98x
Days Sales Outstanding (DSO)	26.1 days	28.1 days	31.2 days	34.9 days
Days Inventory Outstanding (DIO)	8.1 days	10.8 days	12.6 days	9.4 days
Days Payable Outstanding (DPO)	104.7 days	106.7 days	119.7 days	115.4 days
Cash Conversion Cycle (CCC)	-70.5 days	-67.8 days	-75.8 days	-71.1 days

5. Cash-Flow Quality

Metric	FY 2022	FY 2023	FY 2024	FY 2025
Operating Cash Flow / Net Income	1.22x	1.14x	1.26x	1.00x
Free Cash Flow	111.44B USD	99.58B USD	108.81B USD	98.77B USD
FCF Margin	28.3%	26.0%	27.8%	23.7%
Capex / Revenue	2.7%	2.9%	2.4%	3.1%
Sloan Accrual Ratio	-0.063	-0.038	-0.067	0.001

6. DuPont Analysis (3-step)

Metric	FY 2022	FY 2023	FY 2024	FY 2025
Net Profit Margin	25.3%	25.3%	24.0%	26.9%
Asset Turnover	1.12x	1.09x	1.07x	1.16x
Financial Leverage	6.96x	5.67x	6.41x	4.87x
3-Step DuPont ROE	197.0%	156.1%	164.6%	151.9%
Actual Reported ROE	197.0%	156.1%	164.6%	151.9%

7. DuPont Analysis (5-step)

Metric	FY 2022	FY 2023	FY 2024	FY 2025
Tax Burden (NI / EBT)	0.838	0.853	0.759	0.844
Interest Burden (EBT / EBIT)	0.997	0.995	1.002	0.998
Operating Margin (EBIT / Rev)	30.3%	29.8%	31.5%	32.0%
Asset Turnover (Rev / Assets)	1.12x	1.09x	1.07x	1.16x
Financial Leverage (Assets / Eq)	6.96x	5.67x	6.41x	4.87x
5-Step DuPont ROE	197.0%	156.1%	164.6%	151.9%
Actual Reported ROE	197.0%	156.1%	164.6%	151.9%

8. Altman Z-Score

Metric	FY 2022	FY 2023	FY 2024	FY 2025
X1 (Working Capital / Assets)	-0.053	-0.005	-0.064	-0.049
X2 (Retained Earnings / Assets)	-0.009	-0.001	-0.052	-0.040
X3 (EBIT / Assets)	0.339	0.324	0.338	0.370
X4 (Market Value of Equity / Liabilities)	7.294	9.167	11.435	13.176
X4" (Book Equity / Liabilities)	0.168	0.214	0.185	0.258
X5 (Revenue / Assets)	1.118	1.087	1.071	1.158
Market Value of Equity	2,203.38B USD	2,662.33B USD	3,522.21B USD	3,761.72B USD
Altman Z-Score	6.54	7.65	8.89	10.17
Zone (Original)	Safe Zone	Safe Zone	Safe Zone	Safe Zone
Altman Z"-Score (Non-Mfg)	2.08	2.37	1.87	2.31
Zone (Non-Mfg)	Grey Zone	Grey Zone	Grey Zone	Grey Zone

Z = original Altman (1968) model for publicly traded manufacturers, X4 uses the market value of equity at fiscal year end. Z" = Altman (1995) model for non-manufacturers and emerging markets, X4 uses book equity and there is no sales term. Neither model is designed for banks or insurers.

9. Piotroski F-Score

Metric	FY 2022	FY 2023	FY 2024	FY 2025
1. Positive ROA (NI / beginning assets > 0)	n/a	1	1	1
2. Positive Operating Cash Flow (CFO > 0)	1	1	1	1
3. Higher ROA than last year	n/a	n/a	0	1
4. Quality of Earnings (CFO > Net Income)	1	1	1	0
5. Lower Long-Term Debt / avg. Assets	n/a	n/a	1	1
6. Higher Current Ratio	n/a	1	0	1
7. No New Shares Issued	n/a	1	1	1
8. Higher Gross Margin	n/a	1	1	1
9. Higher Asset Turnover (Sales / beginning assets)	n/a	n/a	1	1
Total Piotroski F-Score	n/a	n/a	7	8
Signals Available	2/9	6/9	9/9	9/9
Interpretation	n/a - only 2/9 signals measurable	n/a - only 6/9 signals measurable	Moderate (5-7)	Strong (8-9)

Ending balances unless a row says 'avg.'. EBIT = operating income. Missing data = n/a. Educational project, not investment advice.